

Section L - Instructions, Conditions and Notices to Bidders

PART A: 1.0 GENERAL INSTRUCTIONS

1.0 GENERAL

All Offers must be **UNCLASSIFIED**.

1.1 This competitive Request For Offer (RFO) is a Small Business (SB) Set-Aside. Only qualified Small Businesses that currently hold a SeaPort-NxG Multiple Award Contract (MAC) will be considered for Task Order (TO) award. The Government intends to award a single TO as a result of this RFO. This competition will be conducted using Federal Acquisition Regulation (FAR) 16.507-2, Fair Opportunity Procedures. The Contractor shall prepare and provide Offers in response to this RFO in accordance with these Section L instructions.

1.2 The Contractor shall submit sufficient information according to the instructions in Section L that clearly demonstrates that the Contractor accurately understands and addressed all aspects of the RFO. In presenting material, the Contractor is advised that quality of information is more important than quantity. The Offer shall not include information unrelated to the specific requirements of Section L, nor elaborate brochures or other presentation material beyond what is necessary for a complete and effective response. The burden of proof for all substantiation within the Offer rests with the Contractor.

Information shall not be repeated in multiple volumes. Detailed information shall be included in the most logical place and summarized and referenced in other areas if an overlap exists. Cost information (e.g., dollar values and/or hourly rates) shall appear only in Volume 2 – Cost/Price.

1.3 The Contractor shall respond to all requirements of the RFO without altering or rearranging the structure of the RFO.

1.4 Alternate Offers are not acceptable. Taking exception or deviating from any term or condition of the RFO may render the Offer unawardable, unless the RFO expressly authorizes such an exception or deviation with regard to that specific term or condition.

1.5 As used in this RFO, the following terms are defined:

“Contractor” means the prime contractor or Joint Venture with its CAGE code identified in Block 15A on Standard Form (SF) 33 Solicitation, Offer, and Award.

“Subcontractor” means any supplier, distributor, vendor, or firm that furnishes supplies or services to or for a prime contractor.

“Interchanges” means fluid interaction(s) between the Contracting Officer and the Contractor(s) that may address any aspect of the Offer and may or may not be documented in real time. Interchanges may be conducted at any time and may be conducted with one, some, none, or all of the Contractors who submitted an Offer.

2.0 OFFER FORMAT

2.1 The Offer must be structured so that its volume/paragraph number matches the corresponding volume/paragraph numbering in Section L – Instructions to Contractors, "Part B: Specific Instructions". The Contractor may add lower tier subparagraphs. The Contractor shall provide a rationale if a response is not provided for a particular paragraph.

2.2 The Contractor shall use Microsoft Office (MS) 2016 software or compatible for offer development. Numerical data presented in MS Office format must not be pictorial (i.e., pasted as a picture out of an MS Excel file). The Contractor shall use formulas and functions to the maximum extent possible within all MS Excel

spreadsheets. Use of other application software for submitting Offers is prohibited except where specific instructions for non-.pdf or Office 2016 applications are provided. The Contractor must provide the Government with full unprotected, and unlocked access to all MS Excel documents and information. If the Government is unable to access any of the documents, the Offer may not be evaluated or considered for award.

2.3 The Contractor shall submit its Offer in separate volumes, in accordance with the naming convention, and page limitations specified in Table 1. Pages exceeding the specified limitations will not be considered or evaluated. “Front matter” information such as a cover letter/page, table of contents, and lists of definitions or acronyms do not count towards the page limits specified in Table 1. Technical or cost information submitted within the “front matter” will not be considered or evaluated.

The Contractor shall submit the information within each Volume or Attachment as a single file, if possible. The Offer naming convention shall include a maximum of three letters to represent the Contractor’s name (e.g., ABC_V1_AttT1.docx; RST_V2_AttC1.xlsx). Photographs and pictures are not permitted. Do not include hyperlinks or embedded sound or video files or scrollable blocks within the Offer. Tables are permitted. ZIP files shall not be submitted.

Table 1 – Offer Naming Convention and Page Limitations				
Volume Number	Section	Volume Title	Page Limits	Software Compatibility / Filename Extension
1	1.0	TECHNICAL	See below	
	1.1	Key Personnel (Attachment T1)	No more than 5 pages for each Key Personnel; use Attachment T1 format only	Microsoft Word 2016/.docx
	1.2	Sample Task (Attachment T2)	No more than ten pages; use Attachment T2 format only	Microsoft Word 2016/.docx
2	2.0	COST/PRICE	See below	
	2.1	Cost Reimbursable Workbook (Attachment C1)	No page limit; Use Attachment C1 only	Microsoft Excel 2016/.xlsx
	2.2, 2.3	Cost Reimbursable Narrative (Attachment C2)	No page limit; use Attachment C2 only	Microsoft Word 2016/.docx
	2.4	Fixed/T&M Price Narrative (Attachment C3)	No page limit; use Attachment C3 only	Microsoft Word 2016/.docx

2.4 Each volume shall contain the following information:

- Cover and title page
- Title of offer and offer number as applicable
- Contractor’s or Subcontractor’s name, address, CAGE Code, and Point of Contact (POC) (Name) and Contact Information (Email Address and Phone Number)
- Contractor’s SeaPort contract number (Contractor only)
- RFO number
- Offer volume number
- Table of Contents (The table of contents must provide sufficient detail to enable easy location of important

elements)

2.5 Offers shall be formatted using letter-sized (8.5" x 11") pages, single-spaced, with one-inch margins all around. Pages must be numbered sequentially. Use 12-point Times New Roman font, without compressed or condensed spacing, between lines or characters in order to circumvent the provided page limits. When using Government-supplied templates (i.e., Attachments P1, C1, C2, and C3), do not modify the font or scaling, except that headers and footers may be reduced to 9-point font size. . Contractors may remove the turquoise highlighted instruction text from Attachment T1.

To ensure clarity and efficiency in data presentation, all graphs, charts, and tables submitted as attachments must adhere to specific formatting guidelines. The content within these visual aids should be rendered in 10-point Times New Roman font, single-spaced, without any reduction in font size. Contractors should exercise discretion in utilizing these formats, opting for them only when they effectively convey information. To facilitate accurate data interpretation, a grid should be incorporated into each graph, chart, and table, enabling direct reading of values. Acceptable image formats are JPEG and PNG. The Contractor is encouraged to simplify the color palette used in creating figures; minimize size of graphics files; and avoid scanned images.

2.6 The Contractor bears full responsibility for ensuring the integrity of all electronic Offers submitted, including the absence of any viruses or malicious software. Prior to submission, the Contractor shall perform a comprehensive anti-virus scan on all electronic Offer documents. As a condition of acceptance, the Contractor must certify within the Offer cover letter that all electronic information delivered throughout the evaluation process, including the original Offer, responses to interchanges, and any revised Offers, has been thoroughly scanned and confirmed to be free of viruses. This certification must explicitly identify the specific anti-virus software utilized, its version number, and the virus definition file employed in the scan.

2.7 The Volume 2 Cost/Price attachments shall be submitted as separate files. The Contractor and Subcontractor responses in Attachment C1 shall be unprotected and unlocked, with formulas intact to show mathematical operations and the spreadsheets shall be formatted on letter size (8.5" X 11") paper.

3.0 RFO QUESTIONS

Questions regarding the RFO shall be submitted via email to the Contract Specialist at olivia.e.bossert.civ@us.navy.mil and to the Contracting Officer at amy.g.davis.civ@us.navy.mil. Each question or comment should reference the applicable document, page number, and paragraph number. Contractors shall not include any proprietary information in a question, because the Government will provide the question and answer to all potential offerors. All RFO questions must be submitted no later than 10:00 AM Eastern Time (ET) on the 7th calendar day after the date that this RFO is issued. The Government is under no obligation to answer questions received after that date but may answer the question if time permits.

4.0 FAIR OPPORTUNITY OFFER

Contractors/Subcontractors shall not submit hard copies of the Offer.

4.1 All volumes of the Offer shall be submitted electronically through the Solicitation Module of the Procurement Integrated Enterprise Environment (PIEE) at <https://piee.eb.mil> under RFO Number N0042125R3000. No other submissions, such as mail, hand-carried, or other electronic system (e.g., DOD SAFE) are authorized by the RFO unless specifically authorized by the Contracting Officer pursuant to paragraph 4.2 below. For instructions on how to post an offer, please refer to the Posting Offer demo: https://piectraining.eb.mil/wbt/sol/Posting_Offer.pdf.

4.1.1 Offers shall be marked "Controlled Unclassified Information" and "Source Selection Information – See FAR 2.101 and 3.104".

4.1.2 It is the Contractor's responsibility to follow the registration instructions found on the PIEE website. It is advised that all potential prime contractors and their subcontractors ensure the proper company points of contact are registered in the site based on their CAGE codes and have the proper roles assigned well in advance of the RFO closing date. Subcontractors are only required to register in PIEE if they want to submit their proprietary Offer information separate from the prime offer. Documents submitted by the subcontractor directly to the Government must have the prime contractor's name, CAGE, and RFO number on the first page of the document.

4.1.3 It is the contractor's responsibility to confirm receipt of offers and all electronic communications. Screen shots of the submission should be taken to validate a submission was accepted in the PIEE system against this solicitation. The Government is not obligated to search for incorrectly submitted offers in PIEE.

4.1.4 The submission date for all Volumes shall be no later than the date and time specified in Block 9 of the SF 33 of the RFO. It is the contractor's responsibility to obtain written confirmation of receipt of all electronic files of the offer by the NAWCAD Contracting office. Contractors are highly encouraged to submit electronic proposals by 5:00PM ET one working day prior to the date specified in the RFO for receipt of offers (See FAR 15.107(b)(i)).

4.1.5 If there is an unanticipated PIEE System outage within 24 hours of the offer due date and the outage has interrupted normal Government processes so that offers cannot be received by the exact time specified in the RFO, the contractor shall immediately notify the Contracting Officer. This notification shall occur **prior** to the offer submission deadline and shall be made in writing. The notification may be in conjunction with verbal notification, but verbal notification alone shall not be sufficient. The contractor shall obtain written approval from the Contracting Officer to submit the offer via an alternate method as shown in paragraph 4.2 or the Contracting Officer may advise the contractor that the Government will follow the procedures set forth in FAR 15.107(c) for amending the RFO closing date.

4.1.6 In the event that the Contractor alleges technical difficulties and does not notify the Contracting Officer until after the closing date and time, the Contracting Officer will make a determination, based on the RFO instructions, if the Contractor's late task order proposal submission is accepted.

4.2 The following alternate methods may be utilized when authorized by the Contracting Officer in accordance with paragraph 4.1.5.

4.2.1 Contractor Offers Submitted by Carrier: The contractor shall submit electronic CD-ROM offers via United States Postal Service or through a commercial carrier with next day delivery using the address provided below:

NAWCAD Procurement Group
Rick Paskoski, Procuring Contracting Officer
47060 Liljencrantz Road, Bldg. 433
Patuxent River, MD 20670
RFO Number: N00421-25-R-3000

4.2.2 Hand Carried Offers: Hand carried offers must be delivered to the address above, attention Rick Paskoski, Procuring Contracting Officer (410-610-3702) and Olivia Bossert, Contract Specialist (301-342-3104). If an offer or amendment is hand carried, the contractor must have current base access to deliver the offer. Without base access, the contractor may not get beyond the installation security gate to deliver its offer. Guards are not authorized to accept offers. Each Volume shall be on a separate CD-ROM. Delivery time shall be coordinated with the contracting office to ensure availability to sign for the package.

4.2.3 Regardless of which alternate method is used, the contractor shall package the CD-ROMs in the most efficient manner possible grouping like volumes to the maximum extent possible. Each Volume shall be on a separate CD-ROM. The package shall include all offer volumes including the digitally signed document(s) submitted as part of the Cost/Price Volume. The package shall include a packing slip detailing the contents to include the volume number, title, and copy number.

4.2.4 The package shall be stamped or marked "Controlled Unclassified Information" and "Source Selection Information – See FAR 2.101 and 3.104."

PART B: SPECIFIC INSTRUCTIONS

1.0 VOLUME 1: TECHNICAL

This volume shall not contain any reference to cost/price aspects of the Offer.

To be eligible for award, the Contractor shall provide information in accordance with the directions below. The Contractor shall provide its response to Volume 2 - Technical within the following two documents. No other format will be considered.

Key Personnel (Attachment P1)
Sample Task (Attachment T1)

1.1 KEY PERSONNEL

The Contractor shall provide a completed Attachment P1 for each key personnel proposed. Each proposed Key Personnel shall have a separate corresponding Attachment P1, with Parts I-IV and the Key Personnel Qualification Matrix completed for each Attachment P1 submission.

The following definitions apply:

- A "contingent hire" is an individual who has committed, under a signed Letter of Commitment, to being employed by the Contractor with a stated salary, if the Contractor is awarded the TO.
- A "prospective hire" is an individual that the Contractor has committed to hiring if the Contractor is awarded the TO whose identity may not be known until after TO award.
- A "current personnel" is an individual currently on the Contractor's or one of the proposed Subcontractor's payroll.

Only current or contingent hire personnel may be proposed as Key Personnel. No prospective hires may be proposed as Key Personnel.

1.1.1 The Contractor shall only complete and submit an Attachment P1 for the Key Personnel labor categories and corresponding number of Key Personnel in each Key Personnel labor category that are listed in Section J, Attachment 01 – SOW, Paragraph 3.4.2. The Contractor is prohibited from proposing Key Personnel in option years (option years 1-4) that differ from the Key Personnel proposed in the base year.

1.1.2 If contingent key personnel are proposed, the Contractor shall ensure a signed Letter of Commitment is submitted for each proposed contingent personnel within Volume 2 - Cost. The Letter of Commitment shall include all of the information stated within Section J, Attachment L1 – Instructions to Offerors, Part B, Paragraph 2.3.1.1.3.

1.1.3 Within Attachment T1 (Parts I - IV), the Contractor shall demonstrate that each proposed Key Personnel meets the minimum qualifications stated within Section J, Attachment 01 - SOW, Paragraph 3.4 for the corresponding Key Personnel labor category. The Contractor shall clearly identify each Key Personnel's experience in Attachment P1 (Parts I - IV) in order for the experience to be evaluated by the Government. Experience requirements (e.g., functional experience, any specific experience requirements as applicable (e.g., leading a team, supervisory, etc.)) must be achieved by the date stated in Block 9 of the Standard Form (SF) 33 and shall be clearly documented as such within Attachment P1. The Contractor should be aware that the function of the job (e.g., leading, supervising, or managing) and such experience(s) should be identified appropriately and specifically. For example, if the experience

requirement specifies that the candidate shall have five (5) years of experience as a Team Lead, the experience should reference specific instances of leading a team through execution of an effort vice stating the candidate has five (5) years as a supervisor, as supervisory experience indicates administrative leadership of personnel. (If the Labor Category requires supervisor experience, the term "supervisor" instead of "team lead" or "manager" should be used when job duties include supervision of personnel).

1.1.4 The Contractor shall detail, within the Key Personnel Qualification Matrix portion of Attachment P1, how the proposed Key Personnel's experience meets the minimum qualifications stated in Section J – Attachment 01 –, SOW, Paragraph 3.4 of the corresponding proposed Key Personnel labor category functional description. Only experience that is included in the "Resume" Section (Parts I - IV) of the Attachment P1 will be considered.

1.1.5 The Government may check backgrounds to verify experience, education, and clearances.

1.2 SAMPLE TASK

The Contractor shall complete and submit an Attachment T1, Sample Tasks within Volume 1 – Technical to provide a written response to the Sample Task provided in Paragraphs 1.2.1.1 below. The Contractor shall demonstrate in a clear and detailed manner that they have a comprehensive understanding of the requirements and problems inherent with providing services of the scope and character outlined in the Sample Task. The Contractor should note that unique methods of technically resolving problems identified with the Sample Task are encouraged.

1.2.1 Sample Task:

NAWCAD WOLF has been tasked to collaborate with a US Marine detachment that has organically developed a SUAS for reconnaissance and close in force protection. The SUAS does not currently conform to an approved SRA but will be required to connect to tactical networks for data dissemination. Within the bounds of the SOW, describe your approach to identifying the existing SUAS architecture and align it with an approved SRA.

The Offeror shall include the following information:

- a. Assumptions: Identify and describe any assumptions applicable to the sample task and technical approach to ensure the Government has a clear understanding of the Offeror's response.
- b. Technical Approach: Provide a detailed description of the technical approach and methodology to be used in accomplishing the task.
- c. Performance Risk Analysis: Identify contingent events inherent to the effort that could jeopardize successful performance if they were to occur. The analysis should focus on critical, realistic risks that would pose significant challenges, rather than minor or unlikely issues.
- d. Work Breakdown Structure/Schedule: Provide a detailed schedule of events and briefly describe each task, including inputs, outputs, and the interrelationships and interdependencies among the activities.
- e. Models and Tools: Identify the models and/or tools that would be utilized to perform the task. Although it is to be assumed that necessary access to systems will be provided, Offerors should document system access requirements and tools required to gather and consolidate necessary data.
- f. Progress Tracking: Describe the process to track progress towards task completion and identify recommended reports or deliverables used to document progress.
- g. Level of Effort: Identify the appropriate labor categories, using the labor categories identified in Attachment 01 the Statement of Work (SOW) and provide estimated hours required per labor category to complete the task.

Alternative SRA Development: If the SUAS cannot conform to an existing SRA, describe the steps required to establish a new SRA based on the SUAS architecture and explain how the resulting information would be documented and made available for future use by other operational units.

Offerors shall not include any cost information in their technical proposal submission.

2.0 VOLUME 2: COST/PRICE

(a) To be eligible for award, the Contractor and Subcontractors must adhere to the directions and submit the following information under Volume 2 – Cost/Price.

(1) The Contractor and all Subcontractors proposing a cost reimbursable contract type (e.g. Cost Plus Award Fee (CPAF), Cost Plus Fixed Fee (CPFF), etc.) shall complete and submit an Attachment C1 - Cost Workbook. No other format will be evaluated.

(2) The Contractor and all Subcontractors proposing a cost reimbursable contract type shall complete and submit an Attachment C2 - Cost Reimbursable Narrative. No other format will be evaluated.

(3) All Subcontractors proposing a contract type other than cost reimbursable (e.g. Firm Fixed Price (FFP), Firm Fixed Price Level of Effort (FFP LOE), Time and Material (T&M), etc.) shall only complete and submit Attachment C3 - Fixed/T&M Price Narrative (no Attachment C1 required). No other format will be evaluated.

(b) Unpriced subcontractors shall not be proposed.

(c) Offers shall be valid for at least 180 calendar days after being submitted.

2.1 Cost Workbook, Attachment C1

2.1.1 This paragraph is applicable to the Prime Offeror only. The Prime's total proposed cost will be determined by the rates/costs inserted in Attachment C1, Cost Reimbursable Workbook. The Government will populate Section B of the awarded Contract based on the proposed costs stated within the worksheet titled "Cost Summary" within the Offeror's Attachment C1 and the projected Government funding profile at that time. If Contractors provide a separately populated Section B or have cost information in the Volume 2 - Cost/Price narrative that differs from the values in the Attachment C1, the Attachment C1 will prevail.

2.1.2 The Contractor shall complete Attachment C1 following the "Instructions" worksheet within Attachment C1. The Subcontractor shall follow the specific instructions for Subcontractors within the "Instructions" worksheet of Attachment C1. The Contractor and Subcontractors shall provide inputs within the "Indirect Rates and Fee" worksheet and "Cost Summary" worksheet of Attachment C1.

2.1.3 The Contractor shall provide inputs within the "Fully Burdened Labor Rates" worksheet of Attachment C1 (see Section L, Part C, Paragraph 3.3.4) in accordance with the "Instructions" worksheet within Attachment C1. Fully Burdened Labor Rates (FBLRs) are defined as direct labor rates plus all applicable burdens, to include indirect rates, fee, and subcontractor pass-through costs where applicable. For Subcontractor labor, in the Contractors Attachment C1, the FBLRs shall be inclusive of any pass-through charges (e.g., subcontractor handling, fixed fee on subcontractor labor, etc.) applied by the Contractor.

2.1.4 The Contractor shall fully disclose the buildup of its proposed cost/price. The Contractor shall not utilize any fully burdened hourly rates when pricing the labor of its employees in the "Cost Summary" worksheet.

2.1.5 If a Subcontractor proposes a cost reimbursable contract type and utilizes FBLRs' in its Offer to the

Contractor, the Subcontractor shall provide to the Government its own Attachment C1 delineating the buildup of those rates.

2.1.5.1 Subcontractors shall document and provide an explanation (See Section J - Attachment L1 – Instructions to Offerors, Part B, Paragraph 2.3.7) if its fully burdened labor rates derived from its own Attachment C1 do not match the fully burdened labor rates provided in its Offer to the Contractor.

2.1.6 Minimum Labor Cost. The total labor cost of this requirement is expected to exceed a minimum of \$8,945,801. The estimate is based on the fully burdened labor cost only for all periods of performance (base period and all option periods including fee). It does not include ODCs. Any Offer that does not meet the minimum dollar amount established shall include a justification that explains why the Offer is below the minimum. The justification shall be included as an Enclosure to Attachment C2.

2.2 Cost Reimbursable Narrative, Attachment C2 (Part I – Administrative Information)

2.2.1 The Contractor and Subcontractors shall complete Part I of Attachment C2 in accordance with the instructions within Attachment C2.

2.2.2 The Contractor shall provide as an Enclosure to Attachment C2 the following:

2.2.2.1 A signed SF33 for the RFO and a signed SF30 for each amendment.

2.2.3 The Contractor and Subcontractors shall provide as an Enclosure to Attachment C2 the following:

2.2.3.1 The most current Defense Contract Audit Agency (DCAA) Direct and/or Indirect Rate Approval Letters; DCAA Forward Pricing Rate Agreement or Recommendation; and/or Defense Contract Management Agency (DCMA) Letters (such as accounting system letters, property management system letters, etc.), as applicable.

2.2.3.2 A completed Section K of the RFO.

2.2.3.3 Signed Representations, Certifications, and Acknowledgements and/or System for Award Management (SAM).

2.2.3.4 An OCI disclosure and OCI Mitigation Plan, if applicable, based on the Contractor's, and Subcontractor's, completion of KTXT.209-9511, Organizational Conflicts of Interest Representation (Services).

2.2.4 The Contractor shall provide documentation verifying that it has an adequate and acceptable accounting system in accordance with DFARS 252.242-7006, Accounting System Administration, as an Enclosure to Attachment C2.

2.2.4.1 If the Contractor's accounting system has not been reviewed and deemed adequate by DCAA or DCMA, the Contractor shall provide the following:

- A statement in Table 4 of the cost/price narrative stating that its Accounting System has not been reviewed or determined adequate by DCAA or DCMA (as applicable).
- A completed "Pre-award Survey of Prospective Accounting System Checklist" (located at: https://www.dcaa.mil/Portals/88/Preaward_Survey_of_Prospective_Contractor_Accounting_System_Checklist_updated10_9_19.pdf). This checklist shall be provided as an Enclosure to Attachment C2.

The Government may request a Pre-award Survey of a Prospective Contractor Accounting System through DCAA in advance of TO award using the checklist submitted with the Offer. Contractors are reminded of their obligation to maintain an adequate accounting system as defined by DFARS 252.242-7006. If the Government cannot determine the adequacy of the Contractor's accounting system through the DCAA's Pre-Award Survey, the Contractor may be

deemed non-responsible and ineligible for TO award. Additional information about the audit process can be found at the DCAA website at <https://www.dcaa.mil/Guidance/Audit-Process-Overview/>.

2.2.5 Subcontractors proposing a cost-reimbursable subcontract shall provide documentation verifying their accounting system's adequacy and acceptability, as per DFARS 252.242-7006, as an enclosure to Attachment C2.

2.2.5.1 Subcontractors whose accounting systems have not been deemed adequate by DCAA or DCMA are ineligible for cost-reimbursable subcontracts.

2.3 Cost Reimbursable Narrative, Attachment C2 (Parts II – XV)

2.3.1 The Contractor and Subcontractors shall provide a narrative that outlines all assumptions made during the preparation of the Cost/Price Offer and justifies the basis for each cost element listed below:

2.3.1.1 Direct labor rates. The Contractor and Subcontractors shall submit unburdened labor rates for all proposed personnel (current, contingent, and prospective hires). If composite or category averages are used, provide a detailed breakdown and explanation of how these rates were developed. Include a narrative describing the derivation of labor rates and the use of uncompensated overtime, if applicable.

2.3.1.1.1 Current Employees. For all proposed current employees, the Contractor and Subcontractors shall provide payroll verification by completing Table 6 – Hourly Direct Labor Rates for Current Employees in its entirety. Provide a justification within Attachment C2, Part II for any deltas between payroll verified rates and proposed rates.

2.3.1.1.2 Prospective Hires. For all proposed prospective hires, the Contractor and Subcontractors shall propose direct labor rates equal to or greater than the direct labor rates stated in the “Minimum Direct Labor Rates” worksheet within Attachment C1. These minimum rates are based on May 2024 Bureau of Labor Statistics (BLS) wage data by Metropolitan Statistical Area (MSA) (California-Lexington Park, MD) and occupation for each labor category’s SOC code at the 25th, 50th, and 75th percentile. The Government utilized data at the 25th percentile for Junior labor categories, the 50th percentile for Journeyman labor categories, and the 75th percentile for Senior labor categories.

Wage Determination 2015-4279 REV 29 (07/08/25) for St. Mary’s County, Maryland, was utilized for applicable SCLS labor categories.

The rates from the BLS wage data were then escalated by 3.30% annually to reflect the anticipated Period of Performance (PoP) start date of this TO utilizing BLS Table 9, Employment Cost Index for Wages and Salaries for Private Industry Workers by Occupational Group and Industry sub group titled, “Professional, Scientific and Technical Services” for the 12 month period ending 30 June 2025. Based on average historic escalation for the subject SCLS labor categories, the rates for these categories were escalated by 2.61% annually to reflect the anticipated PoP start date of this TO.

2.3.1.1.3 Contingent Hires. The Contractor and Subcontractors shall submit a Letter of Commitment for each contingent hire (key and non-key) as an enclosure to Attachment C2. The Letter of Commitment is a separate written agreement signed by the potential employee(s) to work for the Contractor effective upon TO award. Letters of Commitment shall include at a minimum: the contingent hire’s name, RFO labor category they will be fulfilling, salary information, and the contingent hire’s signature and date. No information within any Letter of Commitment shall be redacted. Subcontractors shall provide this information either separately or included in the Contractor's Volume 3 – Cost/Price Offer.

2.3.1.2 Escalation

2.3.1.2.1 Escalation on labor for Base Year. If necessary, the Contractor and Subcontractors shall escalate their current direct labor rates to align with the anticipated PoP start date of this TO. Indicate when your company typically provides direct labor rate increases and whether a rate increase is anticipated before the TO PoP start date. Proposed escalation rates shall be supported by historical data. If the Contractor and/or Subcontractors lack historical data, they

shall propose an escalation rate of 3.30% or higher for non-SCA labor categories if a rate increase is anticipated prior to the TO PoP start date. If current direct labor rates are not escalated to account for the base period start date and the company's customary direct rate increases, and a justification is not provided, the Government may adjust the proposed direct labor rates accordingly. For example, if the proposed direct labor rates are based on 2025 data and the effort begins in 2026, the Contractor shall escalate the rates to reflect a 2026 start.

2.3.1.2.2 Escalation on labor for Option Years. The Contractor and Subcontractors shall address labor escalation for all labor categories and justify the specific escalation rate used in Part III of Attachment C2. Include the company's historical escalation rates for the past three years in Attachment C2, Part III, Table 7. Offers that do not propose escalation or explain its absence may be considered unrealistically low. In such cases, the Government may adjust the Offer to include escalation for option years 1-4.

2.3.1.2.2.1 The Contractor and Subcontractors shall propose escalation rates that are supported by their historical data. If historical data is unavailable, an escalation rate of 3.30% or higher must be proposed for non-SCA labor categories in option years 1-4. The 3.30% is derived using BLS Table 9, Employment Economic Cost Index for Wages and Salaries for Private Industry Workers by Occupational Group and Industry subgroup titled, "Professional, Scientific and Technical Services" for the 12-month period ending 30 June 2025.

2.3.1.2.3 The Contractor and Subcontractors shall apply an escalation of 2.61% to all SCLS labor categories for option years 1-4 to account for anticipated SCA wage determination rate increases.

2.3.1.3 Indirect costs (i.e., Overhead, Fringe Benefits, General & Administrative (G&A), etc.) and bases to which they apply.

The Contractor and Subcontractors shall ensure consistency between the narrative description of Indirect Costs stated in Attachment C2, and how the Indirect Costs are calculated within Attachment C1.

2.3.1.3.1 The Contractor and Subcontractors shall provide the last three years of historical actual indirect rates within Attachment C2, Part IV, Table 8.

2.3.1.3.2 The Contractor and Subcontractors shall submit detailed justification of the proposed indirect rates within Attachment C2, Part IV. If any of the proposed Indirect rates utilized by the Contractor or any Subcontractors differ from the historical actual rates and/or DCAA/DCMA information, a justification shall be provided for the difference in Attachment C2, Part IV.

2.3.1.4 Estimating Practices. The Contractor and Subcontractors shall provide supporting information to explain its estimating practices within Attachment C2, Part V.

2.3.1.5 Profit/Fee

2.3.1.5.1 Contractors, including Subcontractors, shall identify proposed fee rates, total fee amounts, and the cost elements to which the fee is being applied within Attachment C2, Part VI. Fee rates must be clearly distinguishable. Fee shall not be applied to ODCs.

2.3.1.5.2 (Applicable to Prime Contractors Only): Fixed fee (rounded to exactly two (2) decimal places) will be calculated based on fee per hour and in accordance with HTXT.232-9510, Payment of Fixed Fee (NAVAIR)(OCT 2005). The fee per hour is the total Fixed Fee proposed for all years of the task order divided by the total LOE hours. The Contractor shall confirm that the total Fixed Fee value stated in Attachment C1 equals the same value when multiplying the proposed fee per hour and total Level of Effort hours. NOTE: SEE ADDITIONAL INFORMATION (STEP 20) IN THE INSTRUCTIONS TAB OF THE C1.

2.3.1.6 ODCs by specific cost element: (i.e. Material, Travel) Contractors, including Subcontractors, shall provide a narrative that addresses any assumptions made during the preparation of the cost/price proposal and discuss the basis for travel and material costs, including any indirect costs being applied to each specific cost element within

Attachment C2, Part VII.

2.3.1.7 Cost of Money (COM): If claiming Cost of Money (COM) as an allowable cost, the Contractor and Subcontractors must submit a DD 1861 as an enclosure to Attachment C2 and provide calculations for the proposed amount in Attachment C2, Part VIII.

2.3.2 Price Reasonableness Determination. In accordance with FAR 15.404-3(b), the Contractor shall conduct appropriate cost or price analysis to establish the reasonableness of the proposed subcontract prices. The results of these analyses shall be included in its cost reimbursable narrative. Provide a detailed explanation for the basis of this determination for each proposed Subcontractor, regardless of proposed subcontract type, in Attachment C2, Part IX, or as an Enclosure.

2.3.3 Fully Burdened Labor Rates (FBLRs). The Contractor must submit annual FBLRs for all proposed personnel (current, contingent, and prospective hires) for both the Contractor and each Subcontractor, using the "Fully Burdened Labor Rates" worksheet in Attachment C1 (see Section L, Part C, Paragraph 3.1.3). Proposed annual fully burdened labor costs/prices may be subject to the NAVAIR labor tripwire identified in Section M, Part C, Paragraph 3.5. If an employee's proposed annual fully burdened labor value exceeds the labor tripwire, Contractors and Subcontractors shall provide a justification in Attachment C2, Part XI, explaining the reasonableness for exceeding the labor tripwire for the applicable employee(s).

2.3.4 Maximum Pass-Through Rate. The Contractor shall provide its proposed pass-through rate for this TO and clearly identify the indirect burdens and bases the burdens are being applied to when calculating the pass-through rate. The Contractor shall provide the pass-through rate stated within the Maximum Pass-Through Rates - Applicable to all TO types which is in its SeaPort-NxG MAC award, within Attachment C2, Part X.

2.3.5 Service Contract Labor Standards

2.3.5.1 This RFO is, and the resulting task order will be, subject to the Service Contract Act of 1965, as amended, and to FAR clause 52.222-41, as specified I in Section I of this RFO. The Contractor and Subcontractors shall propose employee wages that comply with the attached Wage Determinations. As part of the Cost/Price Offer, the Contractor and Subcontractors shall provide the names of the proposed labor categories and their corresponding labor categories from the attached Wage Determination, and documentation verifying compliance with the minimum monetary wages and fringe benefits for service employees, as specified in the Wage Determinations (provided as attachments in Section J of this RFO) within Attachment C2, Part XII, or as an Enclosure.

2.3.6 Investments. The Government is not soliciting any investments. However, if the proposed cost/price appears low due to a corporate decision to absorb costs (e.g., lower than usual burdens or rates), the Contractor and Subcontractors must fully identify and explain any such investments in Attachment C2, Part XIII. These investments will be incorporated into the Task Order (TO) to establish a rate cap and ensure its enforceability throughout the TO's duration.

2.3.7 Additional Information. The Contractor and Subcontractors may include additional cost/price information that does not clearly align with the preceding subparagraphs of Section J, Attachment XX – Instructions to Offerors, Part C, Paragraph 3.0 within Attachment C2, Part XIV.

2.3.8 Changes to Attachment C1 or Attachment C2. The Contractor and Subcontractors shall include a narrative to describe any changes made to the Attachment C1 and/or C2 (provided with the RFO) within Attachment C2, Part XV.

2.3.9 Authorized Signature. The Contractor and Subcontractors shall provide authorized representative information and an authorized representative signature in Attachment C2, Part XVI validating all information provided is accurate.

2.4 Fixed/T&M Price Narrative, Attachment C3

Subcontractors proposing a contract type other than cost reimbursable (e.g., FFP, FFP LOE, T&M, etc.) are not required to provide the same level of details as required under cost reimbursable Offers and shall only complete and submit a Fixed/T&M Price Narrative, Attachment C3.

2.4.1 Subcontractors shall complete Part I of Attachment C3 in accordance with the instructions within Attachment C3.

2.4.2 Subcontractors shall provide, as an Enclosure to Attachment C3, the following:

2.4.2.1 A completed Section K of the RFO.

2.4.2.2 An OCI disclosure and OCI Mitigation Plan, if applicable, based on the Subcontractor's completion of KTXT.209-9511, Organizational Conflict of Interest Representation (Services).

2.4.2.3 Letter of Commitment for each proposed Contingent Hire, if proposing a Key Personnel. Required information within the Letter of Commitment is specified in Section J Attachment L1 – Instruction to Offerors, Part C, Paragraph 2.3.1.1.3.

2.4.3 **Deviations from the information requested within Attachment C3.** Subcontractors shall include a narrative to describe any deviations from the information requested within Attachment C3, Part II.

2.4.4 **Authorized Signature.** Subcontractors shall provide authorized representative information and provide an authorized representative signature in Attachment C3, Part III validating all information provided is accurate.

2.4.5 **Service Contract Labor Standards**

2.4.5.1 This RFO is, and the resulting TO will be, subject to the Service Contract Act of 1965, as amended, and to FAR clause 52.222-41, contained in Section I of this RFO. Subcontractors shall ensure employees' wages and fringe benefits are in accordance with the attached Wage Determinations. Authorized Subcontractor signature on the C3 confirms compliance with the Service Contract Act of 1965, as amended, and to FAR clause 52.222-41 requirements.

2.5 GOVERNMENT FURNISHED INFORMATION

2.5.1 Labor Hours

The Government estimate is 71,989 hours for the entire work effort, inclusive of all options. A work-year is defined as 1,920 hours exclusive of holidays and leave and shall be utilized for proposal purposes.

For evaluation purposes, the Contractor shall propose the labor categories and hours by location as outlined in Section J Attachment L2 – Labor Hours.

2.5.2 Other Direct Costs (ODCs).

The Contractor shall use the Government-provided "Not to Exceed" (NTE) values for Other Direct Costs (ODCs) as the capped total amounts. The Contractor is responsible for applying the applicable indirect burdens to derive the allowable direct cost amounts such that, when the burdens are applied, the total does not exceed the NTE values established by the Government. If the Contractor chooses not to burden ODCs, then the Contractor shall propose an H-clause (example provided below) to identify this special term and condition. No fee shall be applied to ODCs.

“[CONTRACTOR NAME] recognizes that [INDIRECT COST] is typically applied to ODCs in accordance with our accounting practices. However, [CONTRACTOR NAME] did not propose [INDIRECT COST] on ODCs within the

Offer, and therefore those costs are unallowable in the execution of this TO and if invoiced will be subject to FAR 52.242-3 Penalties for Unallowable Costs.”

The Government's NTE estimate for ODCs , for the Contractor and all subcontract efforts, are listed below.

	Base Year	Option 1	Option 2	Option 3	Option 4	52.217-8	Total
Material	\$43,948.82	\$46,342.12	\$49,228.13	\$54,945.32	\$58,548.15	\$29,274.08	\$282,286.62
Travel	\$28,252.81	\$29,791.37	\$31,646.65	\$35,321.99	\$37,638.10	\$18,819.05	\$181,469.97
Total ODCs	\$72,201.63	\$76,133.49	\$80,874.78	\$90,267.32	\$96,186.25	\$48,093.12	\$463,756.59

2.5.3 RESERVED

2.5.4 Incumbent Information.

Render Security Engineering, LLC
Contract Numbers are:

N004211990001/N683352190002

23567 Oak View Dr, Suite M
California, MD 20619

Subcontractors:

Not Applicable